

**MODEL QUESTION PAPER
BUSINESS LAW- SET I**

(Maximum marks: 75)

(Time: 3 hours)

PART A

I. Answer all questions in one word or one sentence. Each question carries one mark.

(9 x 1 = 9 marks)

1	A _____ is known as an agreement enforceable by law.	M 1.01	R
2	When an offer addressed to a definite individual it is known as _____	M 1.05	R
3	In a contract something in return is known as _____	M 1.09	R
4	Write the meaning of contract of sale.	M 2.01	R
5	Write the meaning of the term agreement to sell.	M 2.02	R
6	_____ section is related to Factories Act.	M 3.01	R
7	State the meaning of the term manufacturing process.	M 3.02	R
8	Define Companies Act 2013.	M 4.01	R
9	Write the meaning of winding up of company.	M 4.04	R

PART B

II Answer any eight questions from the following. Each question carries 3 marks

(8 x 3 = 24marks)

1	Summarize <i>any three</i> features of valid acceptance.	M 1.07	R
2	Offer and acceptance are two sides of a coin. Justify.	M 1.05	U
3	Identify <i>any three</i> characteristics of contract of sale.	M 2.02	R
4	Indicate the major differences between sale and agreement to sell.	M 2.03	R
5	What are the differences between conditions and warranties?	M 2.06	U
6	What are the objects of Factories Act?	M 3.01	R
7	List out various health measures under the factories Act.	M 3.03	U
8	Explain the working hours of adult.	M 3.06	R
9	Write the features of companies Act.	M 4.01	R
10	Write about formation of a company.	M 4.03	R

PART C

Answer all questions. Each question carries seven marks

(6x7=42 marks)

III	‘Contract = Agreement + enforceable by law’. Prove this by an example. OR	M 1.01	A
IV	Draw a chart showing the classification of contract. Explain classification on the basis of validity.	M 1.04	A
V	‘A minor is competent to enter in to a contract’. Justify. OR	M1.08	U
VI	Write the meaning and features of consideration.	M1.09	U
VII	Explain the classification of goods.	M2.05	U

VIII	OR Distinguish between contract of sale and hire purchase.	M2.04	A
IX	Explain various types of safety measures under Factories Act.	M3.04	R
X	OR List out the special benefits enjoyed by women workers.	M3.07	U
XI	What are the different types of companies?	M4.02	R
XII	OR Explain the contents of Memorandum of Association and Articles of Association.	M4.04	R
XIII	Explain the corporate social responsibility enjoyed by companies.	M1.01	R
XIV	OR Explain prospectus and its contents.	M1.03	A

Question Wise Analysis

Course : Business Law

Q. No	Module Outcome	Cognitive Level	Marks	Time
I.1	M 1.01	R	1	1 min
I.2	M 1.05	R	1	1 min
I.3	M 1.09	R	1	1 min
I.4	M 2.01	R	1	1 min
I.5	M 2.02	R	1	1 min
I.6	M 3.01	R	1	1 min
I.7	M 3.02	R	1	1 min
I.8	M 4.01	R	1	1 min
I.9	M 4.04	R	1	1 min
II.1	M 1.07	R	3	6 min
II.2	M 1.05	U	3	6 min
II.3	M 2.02	R	3	6 min

II.4	M 2.03	R	3	6 min
II.5	M 2.06	U	3	6 min
II.6	M 3.01	R	3	6 min
II.7	M 3.03	U	3	6 min
II.8	M 3.06	R	3	6 min
II.9	M 4.01	R	3	6 min
II.10	M 4.03	R	3	6 min
III	M 1.01	A	7	20 min
IV	M 1.04	A	7	20 min
V	M 1.08	U	7	20 min
VI	M 1.09	U	7	20 min
VII	M 2.05	U	7	20 min
VIII	M 2.04	A	7	20 min
IX	M 3.04	R	7	20 min
X	M 3.07	U	7	20 min
XI	M 4.02	R	7	20 min
XII	M 4.04	R	7	20 min
XIII	M 4.05	R	7	20 min
XIV	M 4.04	R	7	20 min

Course : Business Law

Blue Print

Mark Distribution

Module /	Σ	Type of Questions
----------	---	-------------------

			Part A		Part B		Part C		Total	
			No of Questions	Marks	No of Questions	Marks	No of Questions	Marks	No of Questions	Marks
1	18	38	3	3	2	6	4	28	9	37
2	13	28	2	2	3	9	2	14	7	25
3	14	29	2	2	3	9	2	14	7	25
4	13	28	2	2	2	6	4	28	8	36
Total	58	123	9	9	10	30	12	84	31	123

Blue Print

Cognitive Level Mark Distribution

Cognitive Level	Marks	% of Marks
Remembering	65	53
Understanding	37	30
Applying	21	17
Analysing		
Evaluating		
Creating		
Total	123	100

SCHEME OF VALUATION (Scoring Indicators)- Set I **BUSINESS LAW**

Question no	Scoring indicators	Split up score	Sub total	Total
	PART A			
I(1)	Contract.	1	1x9	9
(2)	Specific offer.	1		
(3)	Consideration.	1		
(4)	Contract of sale of goods is a contract, whereby, the seller transfers or agrees to transfer the property in goods to the buyer for a price. There can be a contract of sale between one part-owner and another.	1		
(5)	An agreement of sale constitutes the terms and conditions of sale of a property by the seller to the buyer.	1		
(6)	Factories Act, 1948. 2[(2)	1		
(7)	A manufacturing process is the way a business will establish how it will produce its products for its customers.	1		
(8)	The Companies Act, 2013 passed by the Parliament has received the assent of the President of India on 29th August, 2013. The Act consolidates and amends the law relating to companies.	1		
(9)	Winding up is the process of dissolving a company. While winding up, a company ceases to do business as usual. Its sole purpose is to sell off stock, pay off creditors, and distribute any remaining assets to partners or shareholders.	1		
II	PART B			

I	Features of valid acceptance. 1.It must be given by the Offeree: . 2.It must be Absolute & Unconditional: 3.It must be in a Prescribed Manner:	1x3	3	
2	Offer and acceptance. • The entire process of entering into a contract begins with the proposal or an offer made by one party to another. The proposal must be accepted to enter into an agreement. • According to the Indian Contract Act 1872, proposal is defined in <u>Section 2(a)</u> as “when one person will signify to another person his willingness to do or not do something (abstain) with a view to obtain the assent of such person to such an act or abstinence, he is said to make a proposal or an offer.” The Indian Contract Act 1872 defines acceptance in <u>Section 2 (b)</u> as “When the person to whom the proposal is made signifies his assent thereto, the offer is said to be accepted. Thus the proposal when accepted becomes a promise.” An offer can be revoked before it is accepted.	3	3	
(3)	Characteristics of contract of sale of goods 1.There must be two parties in a contract of sale . 2.Goods includes 1. Stock and share, 2. growing crops, grass, 3. the things attached to or forming a part of the land which can be severed from the land. 3.Transfer of Ownership In a contract of sale, ownership over goods has to be transferred to the buyer by the seller or there should be an agreement to transfer the ownership by the seller to the buyer.	1x 3		
(4)	Differences between sale and agreement to sell : The following are the major differences between sale and agreement to sell: 1. When the vendor sells goods to the customer for a price, and the transfer of goods from the vendor to the customer takes place at the same time, then it is known as Sale. When the seller agrees to sell the goods to the buyer at a future specified date or after the necessary conditions are fulfilled then it is known as Agreement to sell.	1x3		

	- The nature of sale is absolute while an agreement to sell is conditional. - A contract of sale is an example of Executed Contract whereas the Agreement to Sell is an example of Executory Contract. - Risk and rewards are transferred with the transfer of goods to the buyer in Sale. On the other hand, risk and rewards are not transferred as the goods are still in possession of the seller.			
(5)	Key Differences Between Condition and Warranty The following are the major differences between condition and warranty in business law: - A condition is an obligation which requires being fulfilled before another proposition takes place. A warranty is a surety given by the seller regarding the state of the product. - The term condition is defined in section 12 (2) of the Indian Sale of Goods, Act 1930 whereas warranty is defined in section 12 (3). - The condition is vital to the theme of the contract while Warranty is ancillary.	1x3		
(6)	Objects of Factories Act. 1.Health: For protecting the health of workers, the Act lays down that every factory shall be kept clean and all necessary precautions shall be taken in this regard. The factories should have proper drainage system, adequate lighting, ventilation, temperature etc. 2.Safety: In order to provide safety to the workers, the Act provides that the machinery should be fenced, no young person shall work at any dangerous machine, in conned spaces, there should be provision for man holes of adequate size so that in case of emergency the workers can escape. 3.Welfare: For the welfare of the workers, the Act provides that in every factory adequate and suitable facilities for washing should be provided and maintained for the use of workers. .	1x3		
(7)	Health Measuress as per Factories Act, 1948 Section 11: Cleanliness in every factory. Section 12: Disposal of effluents and wastes. Section 13: Ventilation and Temperature. Section 14: Dust and Fume. Section 15: Artificial Humidification. Section 16: Overcrowding.	3		

	Section 17: Lighting.			
(8)	Working Hours in India: As per the Factories Act 1948, every adult (a person who has completed 18 years of age) cannot work for more than 48 hours in a week and not more than 9 hours in a day. According to Section 51 of the Act, the spread over should not exceed 10-1/2 hours.	3		
(9)	Salient Features of the Companies Act 2013 • It has introduced the concept of ‘Dormant Companies’. Dormant companies are those that have not engaged in business for two years consecutively. • It introduced the National Company Law Tribunal It is a quasi-judicial body in India adjudicating issues concerning companies. It replaced the Company Law Board. • It provides for self-regulation concerning disclosures and transparency rather than having a government-approval based regime. • Documents have to be maintained in electronic form. • Official liquidators have adjudicatory powers for companies having net assets of up to Rs.1 crore. • The procedure for mergers and amalgamations have been made faster and simpler.	3		
(10)	The formation of a company goes through a number of steps, starting from idea generation to commencing of the business. This whole process can be broken down into 4 major phases or steps, which we will be discussing in the lines below. The major steps in formation of a company are as follows: 1. Promotion stage 2. Registration stage 3. Incorporation stage 4. Commencement of Business stage	3		

III IV	A contract is an agreement, enforceable by law where every promise and every set of promises, forming the consideration for each other, is an agreement. The law of contract is most important part of commercial law because every commercial transaction starts from an agreement between two or more persons. The objectives of law of contract are to introduce definiteness in commercial and other transactions. According to Salmond “a contract is an agreement creating and defining obligations between the parties”. According to Sir William Anson, “A contract is an agreement enforceable at law made between two or more persons, by whom rights are acquired by one or more to acts or forbearances on the part of the other or others”. A contract intends to formalize an agreement between two or more parties, in relation to a particular subject. Contracts can cover an extremely broad range of matters, including the sale of goods or real property, the terms of employment or of an independent contractor relationship, the settlement of a dispute, and ownership of intellectual property developed as part of a work for hire. In a contract there must be an agreement and the agreement must be enforceable by law. OR <u>Classification of Contract</u> Classification of contracts <pre> graph TD Root[Classification of contracts] --> Legal[Legal Effects] Root --> Performance[Performance] Root --> Formation[Formation] Legal --> L1[1. Valid Contract] Legal --> L2[2. Void Contract] Legal --> L3[3. Voidable contract] Legal --> L4[4. Unenforceable contract] Legal --> L5[5. Illegal contract] Performance --> P1[1. Unilateral Contract] Performance --> P2[2. Bilateral contract] Performance --> P3[3. Executed contract] Performance --> P4[4. Executory contract] Formation --> F1[1. Express Contract] Formation --> F2[2. Implied contract] Formation --> F3[3. Quasi contract] </pre>	1 1x6 7	
------------------------------	--	--	--

[illegible]

	X has three mobile phones Nokia, Samsung, and Micromax. X offers to sell Samsung, Y accepts to purchase it. Here Nokia phone is considered Specific Goods. 3 Future Goods According to Section 2 (6) of the Sale of Goods Act, 1930 "future goods" means which are to be manufactured or produced or acquired by the seller after the making of the contract of sale. Example X agrees to sell Z the grass to be grown on his land next month. 4 Contingent goods. Contingent goods means goods the acquisition of which by the seller depends upon a contingency of happening or non-happening of an event. Example A agrees to sell a Property to B if he wins the case. A's title is subject to the contingency of winning and hence the Property is called 'Contingent goods'. 5 Unascertained goods : Unascertained goods are those goods which are not identified at the time of making of the contract of sale are called 'Unascertained Goods' Example X has 5 horse, he offers to sell 2 horse to 'Y' but without specifying which of them to be delivered. Y accepts to purchase. It is sale of unascertained goods.		7	
VIII	The difference between sale and hire purchase can be drawn clearly on the following grounds: 1. The contract of sale is governed by the Sale of Goods Act, 1930, whereas the hire purchase contract is governed by the Hire Purchase Act, 1972. 2. When a sale is made, the ownership of goods is transferred immediately to the buyer of the goods. On the contrary, in case of hire purchase, the ownership of the asset is transferred to the hire purchaser, on the payment of the last instalment. 3. In case of a sale, the buyer's position is that of the owner. In contrast, the position of the hire purchaser is just like a	1x7		

	bailee in the contract of bailment, until he pays the final instalment due. 4.In the sale, the payment is made in lumpsum, i.e. one-shot payment either in cash or via cheque or via online modes. As against, in hire purchase, payment is made in instalments. 5.In the sale, the consideration covers the price of the goods purchased. Conversely, in hire purchase, the consideration includes the hire charges for the use of the asset, along with the price of the asset. 6.On the non-payment of the amount due, in case of a sale, the seller can only take legal action against the buyer but cannot take back the goods. However, in hire purchase, the hire vendor can repossess the goods, when the hire purchaser defaults in payment.			
IX	7.A contract of sale is one in which the customer buys or agrees to buy certain goods from a seller, at an agreed-upon price. On the contrary, Hire Purchase refers to a system of buying the asset, wherein buyer acquires the possession of the asset with down payment and completes the purchase by paying periodical instalments, and the seller retains the ownership until the final instalment against the asset is paid.		7	
X	Section 2(m) in The Factories Act, 1948 (m) “factory” means any premises including the precincts thereof— (i) whereon ten or more workers are working, or were working on any day of the preceding twelve months, and in any part of which a manufacturing process is being carried on with the aid of power, or is ordinarily so carried on, or (ii) whereon twenty or more workers are working, or were working on any day of the preceding twelve months, and in any part of which a manufacturing process is being carried on without the aid of power, or is ordinarily so carried on. Power: It means electrical energy or any other form of energy which is mechanically transmitted and is not generated by human or			

	animal agency. Worker A worker means a person employed directly or by through any agencies with or without the knowledge of the principal employer. He may employed for or with out remuneration but he must be employed in a manufacturing process or in cleaning some part of machinery or premises used for manufacturing process. Lock out A lockout is a work stoppage or denial of employment initiated by the management of a company during a labour dispute. In contrast to a strike, in which employees refuse to work, a lockout is initiated by employers or industry owners.			
XI	OR Health Measures and Safety Provisions as per Factories Act, 1948 Section 11: Cleanliness in every factory. Section 12: Disposal of effluents and wastes. Section 13: Ventilation and Temperature. Section 14: Dust and Fume. Section 15: Artificial Humidification. Section 16: Overcrowding. Section 17: Lighting.			
XII	Welfare measures Some of the provisions relating to the Labour Welfare as mentioned in the Factories Act, 1948 are: (1) Washing Facilities (2) Facilities for storing and drying clothing (3) Facilities for sitting (4) First aid appliances (5) Canteens (6) Shelters, rest rooms and lunch rooms (7) Crèches and 8) Welfare officers			

XIII				
X IV	Working hours for children.—(1) No child shall be employed or <u>permitted to work, in any factory—</u> (a) for more than four and a half hours in any day; b) during the night. Explanation.—For the purpose of this sub-section “night” shall mean a period of at least twelve consecutive hours which shall include the interval between 10 p.m. and 6 a.m.] (2) The period of work of all children employed in a factory shall be limited to two shifts which shall not overlap or spread over more than five hours each; and each child shall be employed in only one of the relays which shall not, except with the previous permission in writing of the Chief Inspector, be changed more frequently than once in a period of thirty days. (3) The provisions of Section 52 shall apply also to child workers and no exemption from the provisions of that section may be granted in respect of any child. (4) No child shall be required or allowed to work in any factory on any day on which he has already been working in another factory. ¹[(5) No female child shall be required or allowed to work in any factory except between 8 a.m. and 7 p.m.] Adult workers As per the Factories Act 1948, every adult (a person who has completed 18 years of age) cannot work for more than 48 hours in a week and not more than 9 hours in a day.	1x7	7	

MODEL QUESTION PAPER

BUSINESS LAW - SET II

(Maximum marks: 75)

(Time: 3 hours)

PART A

I. Answer all questions in one word or one sentence. Each question carries one mark.

(9 x 1 = 9 marks)

1	Define the term agreement.	M 1.02	R
2	Contract = Agreement + _____	M 1.01	R
3	When two parties make identical offer to each other in ignorance is _____	M 1.05	R
4	Write the meaning of the term Bailment.	M 2.04	R
5	Write the meaning of the term unpaid seller.	M 2.07	R
6	Define the term worker under Factories Act.	M 3.02	R
7	State the meaning of the term certificate of fitness under Factories Act.	M 3.03	R
8	What do you mean by public company?	M 4.02	R
9	What is the first stage in the formation of a company?	M 4.03	R

PART B

II Answer any eight questions from the following. Each question carries 3 marks

(8 x 3 = 24marks)

1	Summarize <i>any three</i> features of valid offer.	M 1.03	R
2	Indicate the major difference between express contract and implied contract	M 1.04	U
3	Identify <i>any three</i> characteristics of coercion.	M 1.12	R
4	Explain the essentials of contract of sale.	M 2.02	R
5	Write any three differences between sale and bailment.	M 2.04	U
6	Write the meaning of 'Worker' under Factories Act.	M 3.02	R
7	Write any three safety provisions for young persons under Factories Act.	M 3.04	U
8	Explain briefly the incorporation stage of a company.	M 4.03	R
9	Write the classification of companies on the basis of liability.	M 4.02	R
10	Write any three features of a company.	M 4.01	R

PART C

Answer all questions. Each question carries seven marks

(6x7=42 marks)

III	'State the capacity of following parties competent to enter in to a contract. a)Minors b)Persons of unsound mind c)Persons disqualified by law.	M1.08	U
IV	OR What are the essentials of a valid consideration?	M1.10	R

V	'Acceptance is made only after the offer'. Justify. OR	M1.07	U
VI	What are the different types of offers?	M1.06	R
VII	Explain the essentials of a contract of sale. OR	M2.02	U
VIII	Compare the terms conditions and warranties.	M2.06	A
IX	State the objects of Factories Act. OR	M3.01	R
X	List out various provisions regarding the employment of women workers.	M3.07	R
XI	Explain the commencement stage of the company. OR	M4.03	R
XII	Explain the classification of companies on the basis of incorporation and on the basis of number of members.	M4.02	R
XIII	Explain the winding up procedure of the company. OR	M4.04	U
XIV	Explain the social responsibility of companies towards public, employees and customers.	M4.05	R

Question Wise Analysis

Course : Business Law

Q. No	Module Outcome	Cognitive Level	Marks	Time
I.1	M 1.02	R	1	1 min
I.2	M 1.01	R	1	1 min
I.3	M 1.05	R	1	1 min
I.4	M 2.04	R	1	1 min
I.5	M 2.07	R	1	1 min
I.6	M 3.02	R	1	1 min
I.7	M 3.03	R	1	1 min

I.8	M 4.02	R	1	1 min
I.9	M 4.03	R	1	1 min
II.1	M 1.03	R	3	6 min
II.2	M 1.04	U	3	6 min
II.3	M 1.12	R	3	6 min
II.4	M 2.02	R	3	6 min
II.5	M 2.04	U	3	6 min
II.6	M 3.02	R	3	6 min
II.7	M 3.04	U	3	6 min
II.8	M 4.03	R	3	6 min
II.9	M 4.02	R	3	6 min
II.10	M 4.01	R	3	6 min
III	M 1.08	U	7	20 min
IV	M 1.10	R	7	20 min
V	M 1.07	U	7	20 min
VI	M 1.06	R	7	20 min
VII	M 2.02	U	7	20 min
VIII	M 2.06	A	7	20 min
IX	M 3.01	R	7	20 min
X	M 3.07	R	7	20 min
XI	M 4.03	R	7	20 min
XII	M 4.02	R	7	20 min
XIII	M 4.04	U	7	20 min
XIV	M 4.05	R	7	20 min

Blue Print

Mark Distribution

Module	hr / Module	Marks/Module ($h_i / \sum H_i$) * 123 ($\pm 5\%$)	Type of Questions							
			Part A		Part B		Part C		Total	
			No of Questions	Marks	No of Questions	Marks	No of Questions	Marks	No of Questions	Marks
1	18	38	3	3	3	9	4	28	10	40
2	13	28	2	2	2	6	2	14	6	22
3	14	29	2	2	2	6	2	14	7	22
4	13	28	2	2	3	9	4	28	9	39
Total	58	123	9	9	10	30	12	84	31	123

Blue Print

Cognitive Level Mark Distribution

Cognitive Level	Marks	% of Marks
Remembering	79	64
Understanding	37	30
Applying	7	6
Analysing		
Evaluating		
Creating		
Total	123	100

SCHEME OF VALUATION (Scoring Indicators)- Set II BUSINESS LAW

Question no	Scoring indicators	Split up score	Sub total	Total
	PART A			
I(1)	one person offers or proposes something to another person, who in turn accepts the same.	1	1x9	9
(2)	Enforceable by law.	1		
(3)	Counter offer	1		
(4)	Bailment is a legal relationship in common law, where the owner transfers physical possession of personal property for a time, but retains ownership. The owner who surrenders custody to a proper	1		
(5)	Unpaid seller as a seller that has not been paid the full price of the goods that have been sold.	1		
(6)	In reference to Factories act a "worker" is a person who is employed directly or by or through any agency, with or without the knowledge of the principal employer whether for	1		

	remuneration or not in any manufacturing process, or in cleaning any part of the machinery or premises used for a manufacturing process.			
(7)	Certificates of fitness (b) a certificate of fitness to work in a factory as an adult, if he is satisfied that the young person has completed his fifteenth year, and is fit for a full day's work in a factory.	1		
(8)	A public company, publicly traded company, publicly held company, publicly listed company, or public limited of stock which are intended to be freely traded on a stock exchange or in over-the-counter markets company is a company whose ownership is organized via shares.	1		
(9)	The formation of a public company is a long and arduous process. First, the company is floated by its promoters, and the process of gathering financial backing begins. The promotion of a company is the very first step in this long process.	1		
	<u>PART B</u>			
II (1)	Features of valid offer 1. The terms of offer must be certain. 2. Offer must be communicated to the offeree. 3. Legal relationship is required.	1x3	3	
(2)	Difference between implied and express contract is essentially as follows: An express contract is one in which the terms and conditions are spelled out in the contract, either verbally or in writing. . An implied contract is one in which the terms and conditions are inferred by the actions of the parties involved.	3	3	
(3)	Three characteristics of Coercion. (a) The committing of any Act prevented by the Indian Penal Code.. (b) The threat to commit any Act prevented by IPC (c) The unlawful detention of property of another person.	1x 3		
(4)	- Essentials of contract of sale - Two parties: A contract of sale is between two parties, where one party transfers goods to another party. - Goods: The subject of the contract must be goods. This is usually the most important element in a contract of sale because if the goods are not described precisely, confusion could result. - Transfer of ownership: Ownership of the goods must be moved from the seller to the buyer, or there should be an agreement in which the transfer of ownership is made. - Price: The buyer in the contract must pay a price for the	1x3	3	

	goods. • A sales contract is a special type of contract. In order for it to be valid, it must contain clauses about free consent and the competency of the signing parties. • A sale and an agreement to sell are part of a sales contract.				
5.	Bailment	Sale			
	<i>Meaning :</i> Bailment means change of possession voluntarily from one person to another	<i>Meaning :</i> Sale literally means “transfer of absolute interest in property (it may be movable or immovable) from one person to another in lawful consideration of price paid.			
	2.Object. The object of Bailment is temporary possession of the goods in the hands of the Bailee	<i>Object :</i> The object of sale is permanent transfer to the purchaser.	1X3	3	
	3. The Bailee cannot appropriate the property bailed to him.	. The purchaser can appropriate the property purchased by him			
(6)	Worker "worker" means a person 2*[employed, directly or by or. through any agency (including a contractor) with or. without the knowledge of the principal employer, whether for remuneration or not], in any manufacturing. process, or in cleaning any part of the machinery or.		3		
(7)	Safety provisions (a) every moving part of a prime-mover and every flywheel, whether the prime-mover or flywheel is in the engine-house or not. (b) the headrace and tailrace of every water-wheel and water-turbine. (c) any part of a stock bar which projects beyond the headstock of a lathe.		3		
(8)	Incorporation or registration is the second stage in the formation of a company. It is the registration that brings a company into existence. A company is properly constituted only when it is duly registered under the Act and a Certificate of Incorporation has				

	been obtained from the Registrar of Companies.	3		
(9)	-Classification on the basis of liability. On the basis of liability, the companies may be classified into three categories, i.e. (1) Companies limited by shares, (2) Companies limited by guarantee, and (3) Unlimited companies.	1x3		
(10)	Characteristic features of a Company Corporate Body: A company needs to be registered under the Companies Act, 2013. Any other organisation incorporated with the Registrar of Companies, and subsequently not registered cannot be considered as a company. • Separate Legal Entity: A company exists as a separate legal entity which is different from its shareholders and members. Due to this feature, shareholders can enter into a contract with the company and can also sue the company and be sued by the company. • Limited Liability: As the company exists as a separate entity, members of the company are not liable for the debts of the company. Liability of members of a company is limited to the extent of the shares that are held by them or by the extent of the guarantee amount	1x3		
III	1) Minors An agreement made between two or more individual's creating responsibilities that are enforceable or otherwise recognizable at law. A contract is an agreement applicable by law. The Contracts or agreements amid various individuals are formed and validated by the Indian Contract Act. b) Persons of unsound mind A person who is of sound mind for certain duration of time and unsound for the remaining duration is known as a lunatic. When a lunatic enters into a contract while he is of sound mind, i.e. capable of understanding the nature of the contract, it is a valid contract. Otherwise, it is void.	1 1x6	7	

	c) Person disqualified by law A <i>person</i> who is a major and not of <i>unsound mind</i> has the <i>capacity to contract</i>. In every case of a valid <i>contract</i> there must be assent of the <i>parties</i>. is of sound mind and is not <i>disqualified</i> from contracting by any <i>law</i> to which he belongs.			
IV	Essentials of a valid consideration:- 1.It must move at the desire of the promissor. 2.It may move from any person. 3. It may be past, present or future. 4.It must be of some value. 5. It must be real and not illusory. 6. Something other than promissors existing obligation.		7	
V	Offer and Acceptance. Treitel defines an <i>offer</i> as "an expression of willingness to contract on certain terms, made with the intention that it shall become binding as soon as it is <i>accepted</i> by the person to whom it is addressed", the "offeree". An <i>offer</i> is a statement of the terms on which the offeror is willing to be bound. Offer – A promise to do (or not do) something provided the offeree does (or does not do) something in return. □ Acceptance – Act or promise in response to an offer Offer + Acceptance = Agreement.	1x7	7	
VI	<i>Types of offer in contract may vary depending on a number of factors. An offer refers to an invitation to enter into a contractual agreement.</i> <u>1. Types of Offer</u> <u>2. Specific Offer</u> <u>3. General Offer</u> <u>4. Counteroffer</u> <u>5. Cross Offer</u> <u>6. Standing Offer</u> <u>7. Express and Implied Offers</u>	1x7	7	

		5		
VII	Existing Goods Existing goods are goods that physically exist and belong to the seller at the time of contract of sale. Existing can be further divided into two categories: • Specific Goods: These are goods that are specifically agreed upon between the seller and buyer at the time of making the contract of the sale. For example, the seller may agree to sell the buyer a specific item bearing a specific number. These are sometimes known as "ascertained goods." This distinction becomes important because of the rules regarding the transfer of property between parties. • Unascertained goods: These are goods that are agreed upon at the point of making the contract of sale but are not specifically identified in the contract. For example, a seller may agree to sell a buyer one out of a number of items of the same type (e.g., bags of sugar) without defining which specific item the buyer will receive. As soon as the specific item is defined, for example when being prepared for delivery, this becomes specific, or ascertained goods.	2 5	7	
VIII	Conditions and warranties. 1. A condition is an obligation which requires being fulfilled before another proposition takes place. A warranty is a surety given by the seller regarding the state of the product. 2. The term condition is defined in section 12 (2) of the Indian Sale of Goods, Act 1930 whereas warranty is defined in section 12 (3). 3. The condition is vital to the theme of the contract while Warranty is ancillary. 4. Breach of any condition may result in the termination of the contract while the breach of warranty may not lead to the cancellation of the contract. 5. Violating a condition means violating a warranty too, but this is not the case with warranty. 6. In the case of breach of condition, the innocent party has the right to rescind the contract as well as a claim for damages. On the other hand, in breach of warranty, the		7	

	aggrieved party can only sue the other party for damages.			
IX	Objects of Factories Act. 1. Health measures 2. Safety measures. 3. Welfare measures 4. Proper working hours 5. Leave. 6. Other benefits.	7	7	
X	Employment of women workers For <u>employment of women workers in the factory</u>, women workers are excepted from the work of lubrication of machinery in motion. It shall be done only by a specially trained adult male worker wearing tight-fitting clothing. Section 22(2) of the Act specifically mandates on the factory owner that no woman or young person shall be allowed to clean, lubricate or adjust any part of the machinery when it is in motion. This Provision aims to prevent the women from exposure to dangerous injury that can be caused by such moving part. Under Section 27 of the Act, there is a prohibition of employment of women and children near “cotton openers”. Women and children cannot be employed in any part of the factory where pressing of Cotton are going on subject to only one exception. The Exception is the Area between the feed end and delivery end extends to a particular height and subject to the permission of Inspector authorized under the Act.		7	

XI	<u>Commencement of company</u> After getting the certificate of incorporation, a private company can start its business. A public company can start its business only after getting a 'certificate of commencement of business'. i) A public company issues a prospectus of inviting the public to subscribe to its share capital.	1x7		
	(ii) A minimum subscription is fixed, and (iii) The company is required to sell a minimum number of shares mentioned in the prospectus. Incorporation		7	
XII	Companies formed for the purposed of carrying on business and incorporated under the companies act are known as incorporated companies. Incorporated companies are following types: Chartered Companies Statutory Companies Registered companies 1. Chartered Company Companies which are incorporated under the <i>special chartered or proclamation issued by the head of state</i>, are known as chartered Companies. The charter issued for the establishment of a particular company does not govern other companies. Such companies were generally started in 17th and 18th centuries in England. The East India Company, The Bank of England, Hudsons Bay Company, The Chartered Bank etc are the main example of chartered companies. This type of company is no more popular today. In our country there is no existence of such companies. 2. Statutory Company Companies formed or incorporated under the <i>special act of parliament</i> and whose objectives, powers and activities are defined by the act, are known as Statutory Companies. Such companies are governed by their respective acts and do not have any memorandum or articles of association. Ownership of such company is held by the government fully or partially. Nepal Bank Limited, Nepal Rastra Bank, Agriculture Development Bank, Nepal Industrial Development Corporation, Nepal Electricity Authority, Employees Provident Funds etc. are the example of statutory companies in Nepal. These companies are also known		7	42

	as Public Corporation. 3. Registered Company The companies which are formed and registered under the <i>provision of common company law</i> are known company act. as Registered Companies.			
XIII	Winding up procedure 1. Conditions for Summary Winding Up A company seeking to wind up or liquidate under Section 361 should meet the below-mentioned conditions: – The book value of assets of the company does not exceed Rs 1 crore; and – Anyone of the below conditions based on the latest audited balance sheet: 1. In the case of a firm which has taken deposits, the total outstanding deposits do not exceed Rs 25 lakh or 2. In case the company has outstanding loans, the total outstanding loan including secured loan does not exceed Rs 50 lakh; or 3. The turnover of the company is up to Rs 50 crore; or 4. The paid-up share capital of the company does not exceed Rs 1 crore. 2. Appointment of an Official Liquidator The central government appoints the Official Liquidator of the company seeking winding up under the summary procedure for liquidation. 3. Procedure for Summary Liquidation 1. Sale of assets and properties: The Official Liquidator shall dispose of all the assets or property belonging to the company after obtaining the previous approval of the central government. Every sale has to be made with the confirmation of the central government. The gross sale proceeds shall be paid to the liquidator. Any expenses incurred in connection with the sale shall be paid by the liquidator out of the gross proceeds of the sale. 4. Duties of the Official Liquidator The Official Liquidator shall investigate into the affairs of the	7		

	company and submit a report to the Central Government in the prescribed manner. The report shall mention whether any fraud has been committed in promotion, formation or management of the affairs of the company. The report should also be made in case the liquidator is of the opinion there is no fraud committed. If on the receipt of the liquidator's report, if the Central Government is satisfied that a fraud has been carried out by the promoters, directors or any other officer of a company, it might direct further investigation into the affairs of the firm and that a report will be submitted within a time frame as may be specified. 5. Winding-up Order After considering the investigation report submitted by the Official Liquidator, the Central Government may order that winding up may be commenced in the same manner in which a company is wound up by the tribunal.			
XIV	Responsibilities to the general public These responsibilities include reducing dangers and promoting public health, protecting the environment, and developing the quality of the workforce. Many would also argue that businesses should support charities and social causes through corporate philanthropy. Responsibilities to customers Consumerism is the idea that businesses should consider and safeguard certain customer rights. Businesses are obligated to protect the consumers' right to be safe, to be informed, to choose, and to be heard. Responsibilities to employees In addition to pay, employees today expect a safe working environment, consideration of quality of life issues like family leave, and equal opportunity on the job. The workplace should also be free of age discrimination, sexual harassment, and sexism. Responsibilities to investors Businesses must be honest in reporting their profits and the financial community financial performance to avoid misleading investors. When firms fail in meeting these responsibilities, thousands of investors, employees, and customers can suffer. Therefore, government agencies exist to ensure that businesses	7		

	follow proper accounting practices and to investigate alleged fraud and other financial misdeeds.			
--	---	--	--	--